Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Model Question Paper

Fourth Semester

Discipline Specific Core Course (DSC) - MG4DSCECO200 - MACROECONOMICS - I

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse (An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Question

Answer all questions

Each question carries **1** marks

1. In the classical view of Say's Law, money is primarily seen as: [U] / [CO1]

   a). A store of value that people should hoard.
   b). The primary cause of inflation
   c) A "veil" or medium of exchange that facilitates trade but doesn't change the underlying reality of barter
   d) A tool for the government to manipulate demand.

2. Which of the following best represents the basic Equation of Exchange as formulated by Irving Fisher? [AN] / [CO1]

   a). MV=PT b). M/P=kY
   c). V=M/P d). All of the above

3. The marginal propensity to consume (MPC) is 0.8. If autonomous investment increases by ₹500 crore, the total increase in national income will be: [A] / [CO2]

   a). ₹1,000 crore b). ₹2,000 crore
   c). ₹2,500 crore d). ₹4,000 crore

4. According to Keynes, effective demand is: [U] / [CO2]

   a) Total supply in the economy
   b) Total demand for goods at all price levels
   c) Aggregate demand at the equilibrium level of employment
   d) Total planned investment

5. Ricardian Equivalence implies that a tax cut financed by public [U] / [CO2]

   a). Increase current consumption b). Leave consumption unchanged

   C). Decrease saving d) Increase investment

6. Which of the following weakens the Life Cycle Hypothesis? [An]/[CO3]
   a) Perfect capital markets b) Liquidity constraints
   c) Rational planning d) Stable preferences

7. The Life Cycle Hypothesis suggests that individuals: [K]/[CO3]
   a) Consume more in old age than in youth
   b) Plan consumption based on lifetime resources
   c) Do not save during working years
   d) Consume only out of current income

8. Inflation caused by an increase in aggregate demand is called: [U]/[CO4]
   a) Cost-push inflation
   b) Demand-pull inflation
   c) Creeping inflation
   d) Stagflation

9. The short-run Phillips Curve suggests that: [U]/[CO4]
   a) Inflation and unemployment move together
   b) There is a trade-off between inflation and unemployment
   c) Higher inflation always reduces unemployment
   d) Inflation depends only on money supply

10. Which of the following situations best illustrates the crowding-out effect? [An]/[CO4]
    a) Government spending raises output without affecting interest rates
    b) Government borrowing raises interest rates and reduces private investment
    c) Tax cuts increase savings
    d) Money supply expansion reduces unemployment

[1x10 = 10]

Part B

Short Answer

Answer any **10** questions
Each question carries **3** marks

11. Assess the role of price flexibility and neutrality of money in maintaining equilibrium. [An]/[CO1]
12. Analyze how the classical theories of employment, interest, and money are based on the key postulates of classical macroeconomics. [An]/[CO1]
13. Explain the concept of effective demand [U]/[CO2]
14. Evaluate the relevance of the Keynesian Cross models for understanding income determination in a modern open economy. [E]/[CO2]
15. Using the Keynesian Cross framework, explain how equilibrium income changes when government spending or exports increase [A]/[CO2]
16. Describe the Relative Income Hypothesis [U]/[CO3]
17. Explain the relationship between money supply and inflation. [U]/[CO4]
18. Evaluate the relevance of the Phillips Curve in the light of stagflation and the Keynesian crisis. [E]/[CO4]
19. Explain the concept of stagflation. [U]/[CO4]
20. Explain the Marginal Efficiency of Investment (MEI). [U]/[CO3]
21. Describe the Accelerator Theory of investment. [U]/[CO3]

22. Examine how market valuation affects investment decisions in Tobin's q-Theory. [An]/[CO3]
23. Evaluate the relevance of the Accelerator Theory, Tobin's q- Theory, and MEI in explaining modern investment decisions. [E]/[CO3]

[3x10 = 30]

Part C

Short Essay
Answer any **5** questions
Each question carries **6** marks

24. Analyze how changes in output and demand influence investment under the Accelerator Theory. [E]/[CO3]
25. Compare the effectiveness of fiscal and monetary policy in stabilizing the economy. [An]/[CO4]
26. Explain the meaning and objectives of monetary policy. [U]/[CO4]
27. Explain the consumption puzzle: why the average propensity to consume (APC) does not fall as sharply as predicted by Keynes with rising income. [U]/[CO3]
28. Critically evaluate the Relative Income, Permanent Income, and Life Cycle hypotheses in explaining long-run consumption patterns. [E/[CO3]
29. Describe the four-sector model**,** which adds foreign trade (exports and imports), showing how net exports influence equilibrium output. [U]/[CO2]
30. Analyze the relationship between interest rate , investment, and how this affects aggregate demand. [An]/[CO1]

[6x5 = 30]